CASE STUDY · RETAIL PERFORMANCE BENCHMARKING

A Sales Efficiency Model and Opportunity Index

Using volume and efficiency to measure a retailer's true selling ability, and applying the same framework to build an actionable leads list.

The Challenge

Raw retailer sales numbers on their own don't say much. A location selling $3,000 a week could be crushing it or badly underperforming, and raw sales figures alone can't tell the difference. Benchmarking against "like" retailers using their raw sales, whether by classification code or by location, can badly misrepresent a retailer's true selling ability. A better measure needs to strip out the noise and capture a retailer's underlying sales performance.

The Approach

The Sales Efficiency Model is built on three components: volume (foot traffic), conversion (transactions per visitor), and transaction depth (average sale per transaction). We combine third-party foot traffic data with individual terminal and vending machine performance data to build a set of metrics that show a retailer's actual selling ability.

- The metrics rely on peer-group averages and z-scores and are fully transparent rather than coming from a black-box model.
- The model calculates expected sales for each retailer and compares them to actual sales to determine whether the retailer is over- or underperforming against its peers.
- The same calculations are applied to non-lottery businesses in the foot traffic data to produce a prospect list, with each lead's projected sales grounded in its foot traffic and peer-level metrics rather than raw sales averages.

The Result

20,133
Locations scored against peer-adjusted expectations
18,412 existing retailers · 1,721 prospects

$310M
Annual sales gap if retailers trailing by 10%+ reached their peer baseline
27% of retailers trail expectations by 10%+

$58M
Projected annual sales from prospective non-lottery locations
Ranked by foot traffic and peer metrics

With the Sales Efficiency Model, an analyst can study overperforming retailers to learn sales tactics that can be applied across their peer group. Underperforming retailers offer the largest growth opportunity: roughly 27% of existing retailers trail their peer-adjusted expectation by 10% or more, and bringing them up to baseline would add an estimated $310M in annual sales.

Why It Matters

This approach measures actual selling ability rather than raw sales. It surfaces the standout sellers hiding in the data, and it finds growth at high-volume stores whose strong raw sales mask underperformance relative to their foot traffic.

Horizontal sales, meaning sales from adding new retailers, become a slower driver as lotteries mature, since most businesses that can sell lottery already do. Real growth comes from vertical sales: maximizing sales at each existing lottery location. Volume and efficiency give an accurate gauge of retailer performance, and applying the same concepts to non-lottery businesses points recruiting toward the most lucrative prospects.